## Client Selection, Audit Warnings, and Big 4 Client Risk

| | MAO | GC | Observations | Firms |
|---|---|---|---|---|
| **Panel A. Warning and next-year client transition (percentage points)** | | | | |
| Exit Big 4: current Big 4 clients | 35.160*** | 20.390* | 3,504 | 489 |
| | (7.330) | (11.330) | | |
| Enter Big 4: current non-Big-4 clients | -0.290** | 0.030 | 59,865 | 5,119 |
| | (0.120) | (0.170) | | |
| **Panel B. Big 4 minus non-Big-4 gap among warned clients (percentage points)** | | | | |
| Current restatement or violation | -6.250* | -11.880*** | 70,197 | 5,623 |
| | (3.370) | (4.460) | | |
| Violation announcement, next year | -5.300** | -8.870*** | 64,299 | 5,352 |
| | (2.280) | (2.410) | | |
| Restatement, next year | -1.260 | 1.850 | 64,299 | 5,352 |
| | (2.270) | (4.520) | | |

**Panel C. Descriptive classification rates: current failure (percent)**

| | MAO | | GC | |
|---|---|---|---|---|
| | Big 4 | Non-Big-4 | Big 4 | Non-Big-4 |
| No failure among warned: $P(Y = 0 \mid M = 1)$ | 87.85 | 78.33 | 93.18 | 78.03 |
| Denominator | 107 | 4,545 | 44 | 1,866 |
| Type I: $P(M = 1 \mid Y = 0)$ | 2.01 | 5.74 | 0.88 | 2.35 |
| Denominator | 4,671 | 62,047 | 4,671 | 62,047 |
| Type II: $P(M = 0 \mid Y = 1)$ | 88.29 | 79.28 | 97.30 | 91.38 |
| Denominator | 111 | 4,755 | 111 | 4,755 |

*Notes:* MAO denotes a modified audit opinion; GC denotes a going-concern opinion. Panels A–B report coefficients and company-clustered standard errors in percentage points. Models include company and industry-by-year fixed effects, original controls, and missing-value indicators. Panel A estimates the warning association separately within current Big 4 and non-Big-4 clients; the two rows have different dependent variables and are not a formal cross-group slope test. Exit means leaving all Big 4 firms, not switching between Big 4 firms. It does not identify which party initiated the change.

Panel B reports the Big 4 gap conditional on receiving the stated opinion, calculated as the Big 4 main effect plus its opinion interaction. Observations and firms refer to the full regression sample, not only warned clients. Current failure combines restatement and violation attributed to the financial-statement year. Next-year violation refers to announcement timing, not necessarily misconduct beginning after the warning.

Panel C is descriptive, with its probability-specific denominator shown below each rate; $M$ denotes the opinion and $Y$ denotes current failure. A larger no-failure share among warned clients is not a larger Type I error rate. Non-Big-4 pools Local 8 and other firms. These results support client selection and portfolio adjustment as mechanisms, not a causal improvement in audit quality or a uniformly stricter warning threshold.

Source: existing client-selection/opinion mechanism estimates (Panels A, B and D); no re-estimation. *** $p < 0.01$, ** $p < 0.05$, * $p < 0.10$.